Conceptual Framework of E-Money and Stablecoin Tax Reporting

Start Here

Is the product a digital representation of a **single fiat currency** (e.g. USD, EUR, GBP)?

No → The product is not a SEMP (CARF and CRS), it is not e-money (FATCA and CRS), and it is not a Qualifying Stablecoin (US 1099-DA). It may still be in scope of these regulations for other reasons (e.g. as native crypto, tokenized equities, etc)

Yes → Is the product recorded on a **cryptographically secured distributed ledger** (or any similar technology)?

No → Does the **e-money** product meet the definition of being a **SEMP** under the CARF and CRS?

Yes →

US 1099-DA: the product is not in scope

FATCA and CRS 1.0: local country analysis is required to see if the entity holding the e-money is a Depository Institution

CRS 2.0: the entity holding the SEMP is a Depository Institution

CARF: the product is not in scope

CRS 2.0 → <u>By Account</u>: During the reporting measurement period did the account value stay below the USD 10,000 threshold using the rolling average 90 day test to be an **Excluded Account**?

No → Potentially **CRS Reportable Account** (further assessment of other criteria including tax residence of customer, entity status if non-individual, other excluded categories, etc)

Yes → SEMP Account Not CRS Reportable

No → Does the stablecoin product meet the definition of being a **SEMP** under the CARF and CRS?

No → US 1099-DA: the product is not in scope

FATCA and CRS 1.0: local country analysis is required to see if the entity holding the e-money is a Depository Institution

CRS 2.0: the product is *likely not* in scope

CARF: the product is not in scope

Yes → **US 1099-DA: the product is in scope for Brokers**

FATCA and CRS 1.0: the product is *likely not* in scope

CRS 2.0: the entity holding the SEMP is a Depository Institution

CARF: the product is not in scope

CRS 2.0 → Was the **sale for another crypto asset** (that is not itself a Qualifying Stablecoin)?

Yes → Sale Transaction Not 1099-DA Reportable

No → Potentially **1099-DA Reportable Payee from <u>$10,000</u>; sales <u>aggregated</u>** ***Cost basis not reported*** (further assessment still needed on tax status/residence, exempt payee codes, etc)

1099-DA → Does the stablecoin product meet the definition of being a **Qualifying Stablecoin for the whole year** under US 1099-DA?

Yes → Potentially **1099-DA Reportable Payee from <u>$1</u>; sales <u>trans-x-trans</u>** ***Cost basis reported for Covered assets*** (further assessment still needed on tax status/residence, exempt payee codes, etc)

No → US 1099-DA: the product is in scope for Brokers

FATCA and CRS 1.0: the product is not in scope

CRS 2.0: the product is not in scope

CARF: the entity effectuating relevant transactions of this in-scope product is an RCASP

1099-DA → <u>By Account</u>: During the reporting measurement period did the account value stay below the USD 10,000 threshold using the rolling average 90 day test to be an **Excluded Account**?

CARF → Potentially **CARF Reportable User** (further assessment of other criteria including tax residence of customer, entity status if non-individual, other excluded categories, etc)

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Disclaimer: this diagram is not tax or legal advice. It is for educational purposes only and may contain mistakes. It should also not be used in isolation for any product or entity analysis. This is because this educational diagram has over simplified many concepts and omitted edge cases for the purpose of illustrating a high level conceptual framework. It is also possible that a single entity is not subject to all of these requirements for the same product, which requires a nexus analysis. The sole purpose of this diagram is to help a reader navigate confusing terminology that crosses in between regulatory frameworks.

Document Version: 1.0, December 6, 2025